



Start-ups

A start-up is a new business in the early stages of development and operation, during which an entrepreneur or founding group comes up with an idea for a product or service, researches it, develops a business plan, raises funds, and launches with the goal of rapid growth. Registering intellectual property (IP)—a unique creation, not just an idea—to protect it is an important stage of the start-up process. Protection includes trademarks, patents, and copyright.

The early days

Before a company is fully developed, with a working business model, it is known as a start-up. The start-up evolves from an entrepreneur, or group of entrepreneurs, with an idea or invention. It can take a few years to turn the initial concept or prototype into a viable, profitable venture, so the start-up founder tries to attract support and financial backing to achieve rapid growth. During this phase, which can take anything from a few months to several years, the business changes quickly.

476,000
new businesses are started
every month in the US



NEED TO KNOW

- **Internal start-ups** Start-ups that originate from inside a large organization
- **Patent trolls** Companies or individuals who buy up the patents of failed start-ups and attempt to collect licensing fees from potential infringers of the patent

INTELLECTUAL PROPERTY (IP) VALUE

The term "start-up" became commonplace during the dot.com boom of the late 1990s, when thousands of entrepreneurs with web-based products and services found funding, many on the strength of their intellectual property alone. Giants Google and Amazon both started up at that time. Since then, technology businesses have become one of the most talked-about start-up types. Their value is often based 100 percent on intellectual property.

